

Professor: Dr. Andrey Perez Silva
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Course Description

This course focuses on developing participants' ability to understand accounting information to make business decisions. Specifically, the class provides an introduction to financial statements and the financial reporting process. Participants learn skills necessary to become informed users of financial statements. By the end of the course, students should be (i) comfortable reading and preparing financial statements, and (ii) familiar with common business transactions and how these flow into financial statements.

Classes consist of lectures along with case discussions intended to illustrate key concepts and provide opportunities to practice recording business transactions and constructing financial statements. Students are expected to complete reading assignments, quizzes, homework assignments, and cases in preparation for each class. This course prepares students for more advanced financial statement analysis courses.

Prerequisites

None.

Course Materials

Course Website: <https://rady.instructure.com/courses/1954>
You will need an ID and password to access it.

Textbook: *Financial Accounting*, 6th Edition, by Spiceland, Thomas, and Hermann, published by McGraw Hill.
You need access to Connect to complete your assignments. The textbook and Connect are loaded directly on Canvas.

Grade Distribution

Final Exam	30%
Midterm Exam	30%
Quizzes	20%
In-class Participation	20%

If your final exam score is higher than your midterm score, your midterm score will be increased to the score achieved on your final exam. In such cases, the final exam is worth 60% of your final grade.

Examinations

A midterm exam will be held during week six, and a final exam will be held during the final exam week. Students should not collaborate on exams, but you may access your notes.

Quizzes

Regular short quizzes based on the lectures and readings will be administered via Connect. Unless otherwise noted, Connect quizzes are due at noon on the day of class. Students should not collaborate with others on quizzes, but are welcome to reference personal notes.

Solutions to the quizzes will be available on Connect after the due date.

Late submissions are therefore not accepted: Quizzes automatically close at noon. Connect will assign points for the portion of the quiz you complete before noon.

The lowest grade will be dropped.

Reading Assignments

Readings are meant to prepare students for in-class discussions.

Homework Assignments

Homework assignments are meant to prepare students for in-class discussions and to enhance understanding of real-world companies' financial statements and transactions. While homework is optional, it is highly recommended.

Classroom Performance

Participation will be graded based on students' active discussion of course material during class.

Self-Study Problems

Several ungraded self-study problems from the textbook are suggested as preparation for each class. Solutions to these problems will be posted on Canvas.

Additional Information

How to do well in this course

- Complete the reading assignments before coming to class.
- Complete the homework assignments and be prepared to discuss.
- Complete the weekly quizzes
- Actively participate in classroom discussion.
- Ask questions during class and at the TA sessions.
- Work on the self-study problems from the textbook for extra practice.

UCSD Academic Integrity Policy

Students are required to adhere to the UCSD Academic Integrity Policy (see the Senate Manual: Appendix 2 for more information). Any communication among students during the exams and quizzes is strictly forbidden. Students are not permitted to discuss any part of an exam or quiz (including both questions and answers) with other students until the exam availability period or quiz due date has passed for this course.

The Academic Integrity Policy applies to everything you submit for this class.

Accommodations

UCSD is committed to ensuring the full participation of all students in its programs. If you have a documented disability (or think you may have a disability) or special need and, as a result, need a reasonable accommodation to participate in class, complete course requirements, or benefit from the University's programs or services, please contact the Office for Students with Disabilities (OSD) as soon as possible. To receive a reasonable accommodation, you must be appropriately registered with OSD. Please contact the office at 858-534-4382 or osd@ucsd.edu, or visit the website at osd.ucsd.edu. The Office for Students with Disabilities is located at Pepper Canyon Hall – 3rd Floor.

If you have an approved accommodation from the Office for Students with Disabilities that you plan to use in this course, you must present the OSD letter of certification and OSD accommodation recommendation in order to initiate the request for accommodation in classes, examinations, or other academic program activities. *No accommodations can be implemented retroactively.*

Course Outline

Unless otherwise noted, quizzes are to be submitted electronically via Connect no later than **noon** on the day of class. See Canvas for specific due dates and times.

Week 1 : Financial Accounting Framework

- **Reading:** Chapter 1: p.3-19, 32-33
 - Optional self-study problems: Chapter 1: E1-2, E1-4, E1-15, P1-3A, P1-4B
- **Lecture 1:** 1/8
- **Week 1 Problem set**

Week 2 : Double-entry Mechanics

- **Reading:** Chapter 2: p.57-86
 - Optional self-study problems: Chapter 2: E2-2, E2-3, E2-4, E2-20, P2-4B
- **Lecture 2:** 1/15
- **Quiz 1 due**
- **Week 2 Problem set**

Week 3 : The Accounting Cycle

- **Reading:** Chapter 3: p.113 - 145
 - Optional self-study problems: Chapter 3: E3-7, E3-10, P3-8B
- **Lecture 3:** 1/22
- **Quiz 2 due**
- **Week 3 Problem set**

Week 4 : Accounts Receivable

- **Reading:** Chapter 5: p.227-250, p.255-256
 - Optional self-study problems: Chapter 5: BE5-5, BE5-6, BE5-8, BE5-9, BE5-10, BE5-11, BE5-17
- **Lecture 4:** 1/29
- **Quiz 3 due**
- **Week 4 Problem set**

Week 5 : Inventories

- **Reading:** Chapter 6: p.281-308, 317-318
 - Optional self-study problems: Chapter 6: P6-2A
- **Lecture 5:** 2/5
- **Quiz 4 due**
- **Week 5 Problem set**

Week 6 : Exam

- **Midterm exam:** 2/12

Week 7 : Long-Term Assets

- **Reading:** Chemalite (HBS Case), Chapter 7
 - Optional self-study problems: Chapter 7: E7-2B, E7-17B
- **Lecture 6:** 2/19
- **Quiz 5 due**
- **Week 7 Problem set**

Week 8: Accounting Fraud

- **Reading:** Letter from Prison (HBS Case), Chapter 4: p.177-195, p.198-200, p.202-203
 - Optional self-study problems: Chapter 4: E4-9, E4-14, P4-2B
- **Lecture 7:** 2/26
- **Quiz 6 due**

Week 9: Liabilities

- **Reading:** Chapter 8
 - Optional self-study problems: Chapter 8: E8-2, E8-10, P8-6A, P8-7B
- **Lecture 8:** 3/5
- **Quiz 7 due**

Week 10: Stockholders' Equity

- **Reading:** Chapter 10: p.496-497, p.501-507, p.512-513
- **Lecture 9:** 3/12
- **Quiz 8 due**

Week 11: Exam

- **Final exam:** 3/19, 6:30 PM